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ASE HOLDINGS

Second Quarter 2023 Earnings Release

ASE Technology Holding

aseglobal.com

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Consolidated Statements of Income

Quarterly Comparison

(Unaudited)

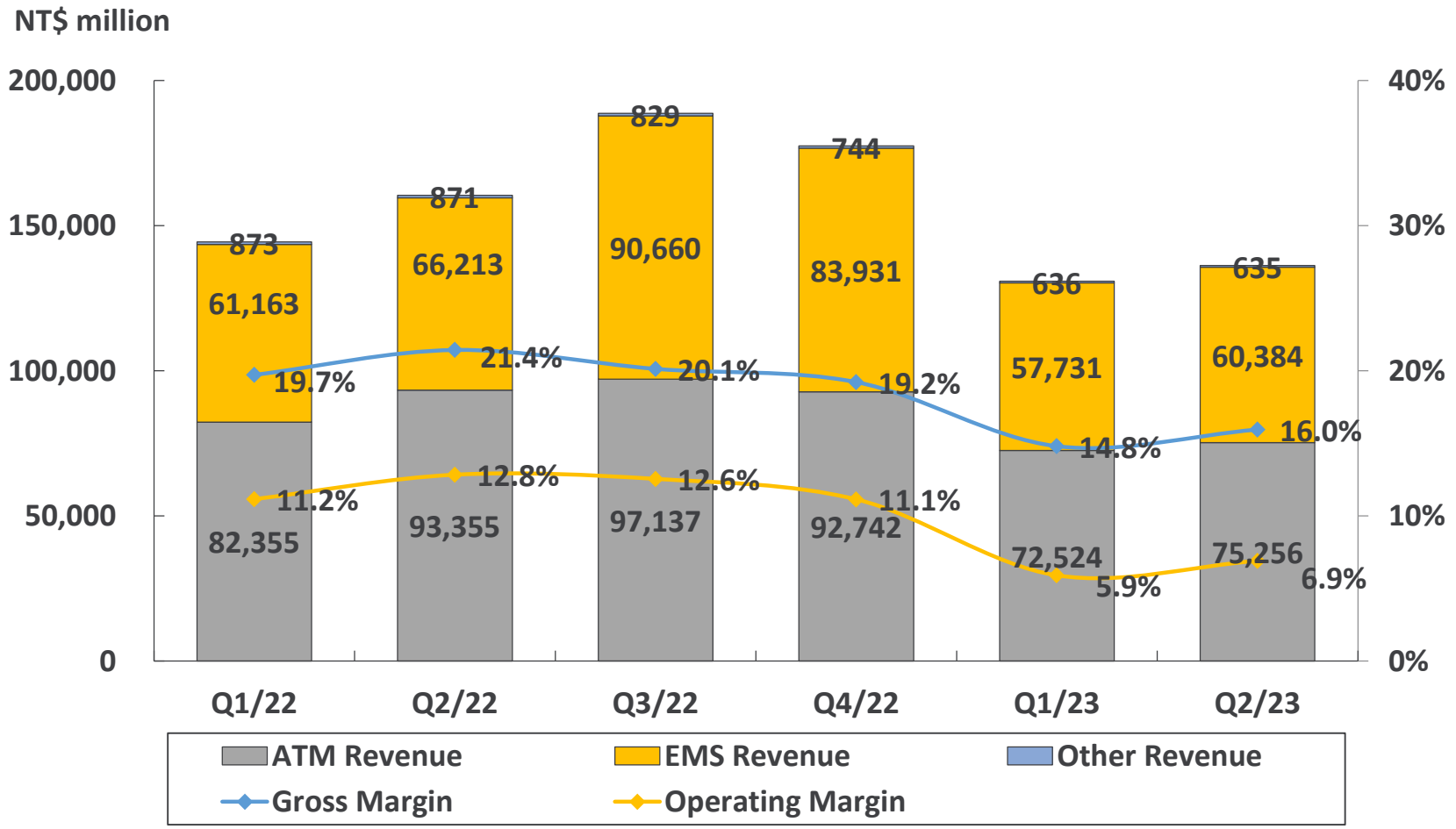
(NT$ million)	Q2 / 2023	%	Q1 / 2023	%	Q2 / 2022	%	QoQ	YoY
Net Revenues:								
ATM	75,256	55.2%	72,524	55.4%	93,355	58.2%	4%	-19%
EMS	60,384	44.3%	57,731	44.1%	66,213	41.3%	5%	-9%
Others	635	0.5%	636	0.5%	871	0.5%	0%	-27%
Total Net Revenues	136,275	100.0%	130,891	100.0%	160,439	100.0%	4%	-15%
Gross Profit	21,741	16.0%	19,339	14.8%	34,388	21.4%	12%	-37%
Operating Income (Loss)	9,412	6.9%	7,695	5.9%	20,606	12.8%	22%	-54%
Pretax Income (Loss)	10,111	7.4%	7,870	6.0%	21,136	13.2%	28%	-52%
Income Tax Benefit (Expense)	(1,914)	-1.4%	(1,777)	-1.4%	(4,479)	-2.8%		
Non-controlling Interests	(457)	-0.3%	(276)	-0.2%	(669)	-0.4%		
Net Income Attributable to Shareholders of the Parent	7,740	5.7%	5,817	4.4%	15,988	10.0%	33%	-52%
Basic EPS(NT$)	1.80		1.36		3.69		32%	-51%
Diluted EPS(NT$)	1.76		1.30		3.61		35%	-51%
Additional Commentary From Management [1&2]:								
Gross Profit excl. PPA expenses	22,654	16.6%	20,256	15.5%	35,306	22.0%	12%	-36%
Operating Income excl. PPA expenses	10,587	7.8%	8,874	6.8%	21,786	13.6%	19%	-51%
Net income attributable to shareholders of the parent excl. PPA expenses	8,902	6.5%	6,980	5.3%	17,161	10.7%	28%	-48%
Basic EPS(NT$) excl. PPA expenses	2.07		1.63		3.97		27%	-48%

[1]: PPA expenses are the P&L impacts from the accounting treatment of purchase price allocation in relation to the ASE/SPIL transaction, which resulted in increased asset values from purchase price premiums in PP&E, intangibles and right-of-use assets. The PPA expenses excluded are related to depreciation, amortization and other expenses $1.13bn in 2Q23, 1Q23, and 2Q22.

[2]: PPA expenses are the P&L impacts from the accounting treatment of purchase price allocation in relation to the USI/Asteelflash transaction, which resulted in increased asset and liability values from purchase price premiums in PP&E, intangibles, right-of-use assets and deferred tax liability. The PPA expenses excluded are related to depreciation, amortization, other expenses and income tax benefit $0.04bn in both 2Q23 and 1Q23, and $0.05bn in 2Q22.

Consolidated Operations

(Unaudited)



ATM Statements of Income

Quarterly Comparison

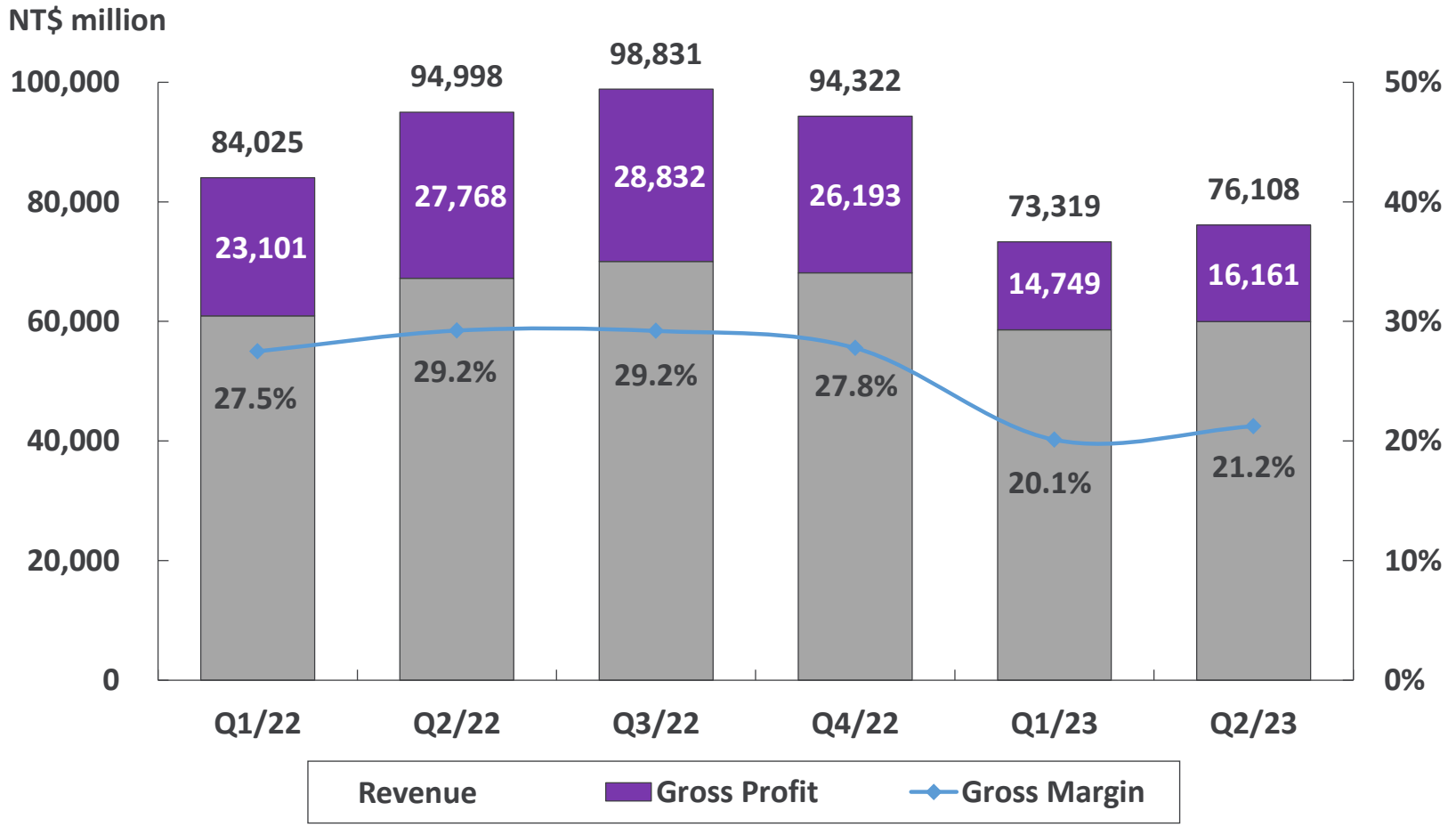
(Unaudited)

(NT$ million)	Q2 / 2023	%	Q1 / 2023	%	Q2 / 2022	%	QoQ	YoY
Net Revenues:								
Packaging	62,607	82.3%	60,770	82.9%	79,894	84.1%	3%	-22%
Testing	12,292	16.1%	11,407	15.6%	13,760	14.5%	8%	-11%
Direct Material	1,165	1.5%	1,106	1.5%	1,288	1.3%	5%	-10%
Others	44	0.1%	36	0.0%	56	0.1%	22%	-21%
Total Net Revenues	76,108	100.0%	73,319	100.0%	94,998	100.0%	4%	-20%
Gross Profit	16,161	21.2%	14,749	20.1%	27,768	29.2%	10%	-42%
Operating Income (Loss)	7,405	9.7%	6,409	8.7%	17,995	18.9%	16%	-59%
Additional Commentary From Management [1] :								
Gross Profit excl. PPA expenses	17,035	22.4%	15,624	21.3%	28,645	30.2%	9%	-41%
Operating Income excl. PPA expenses	8,529	11.2%	7,534	10.3%	19,122	20.1%	13%	-55%

[1]: PPA expenses are the P&L impacts from the accounting treatment of purchase price allocation in relation to the ASE/SPIL transaction, which resulted in increased asset values from purchase price premiums in PP&E, intangibles and right-of-use assets. The PPA expenses excluded are related to depreciation and amortization $1.12bn in 2Q23, and $1.13bn in both 1Q23 and 2Q22.

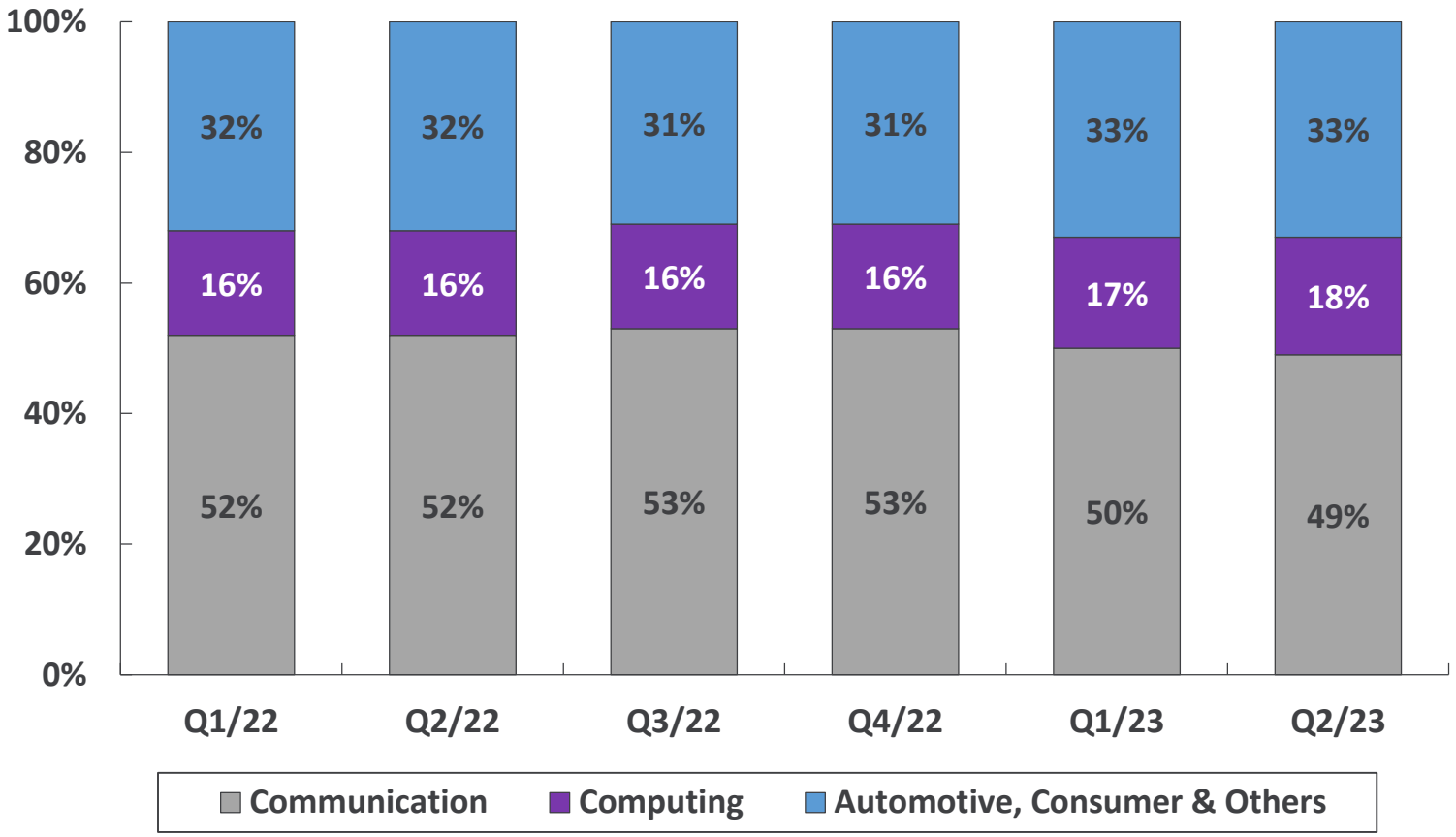
ATM Operations

(Unaudited)



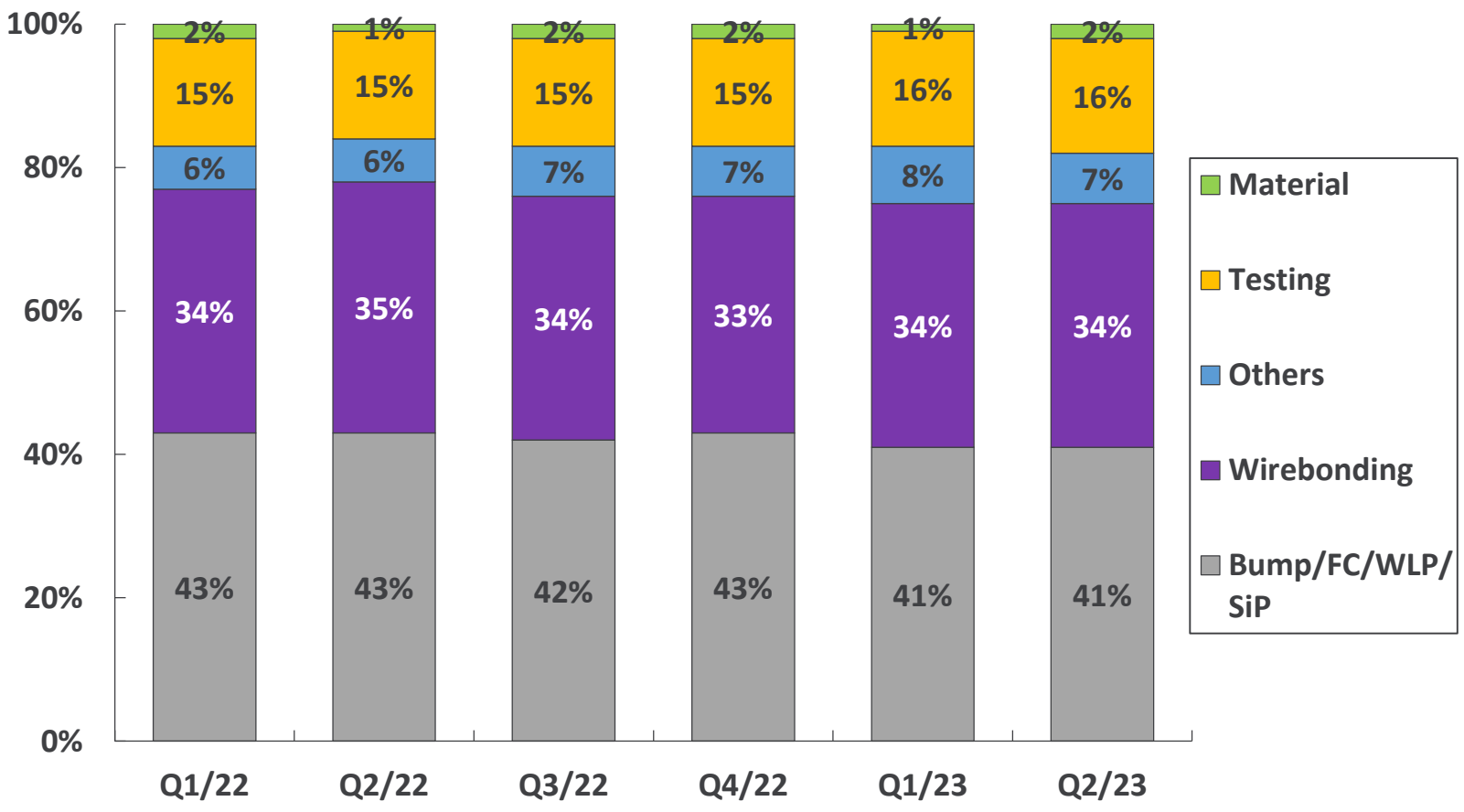
ATM Revenues by Application

(Unaudited)



ATM Revenues by Type

(Unaudited)

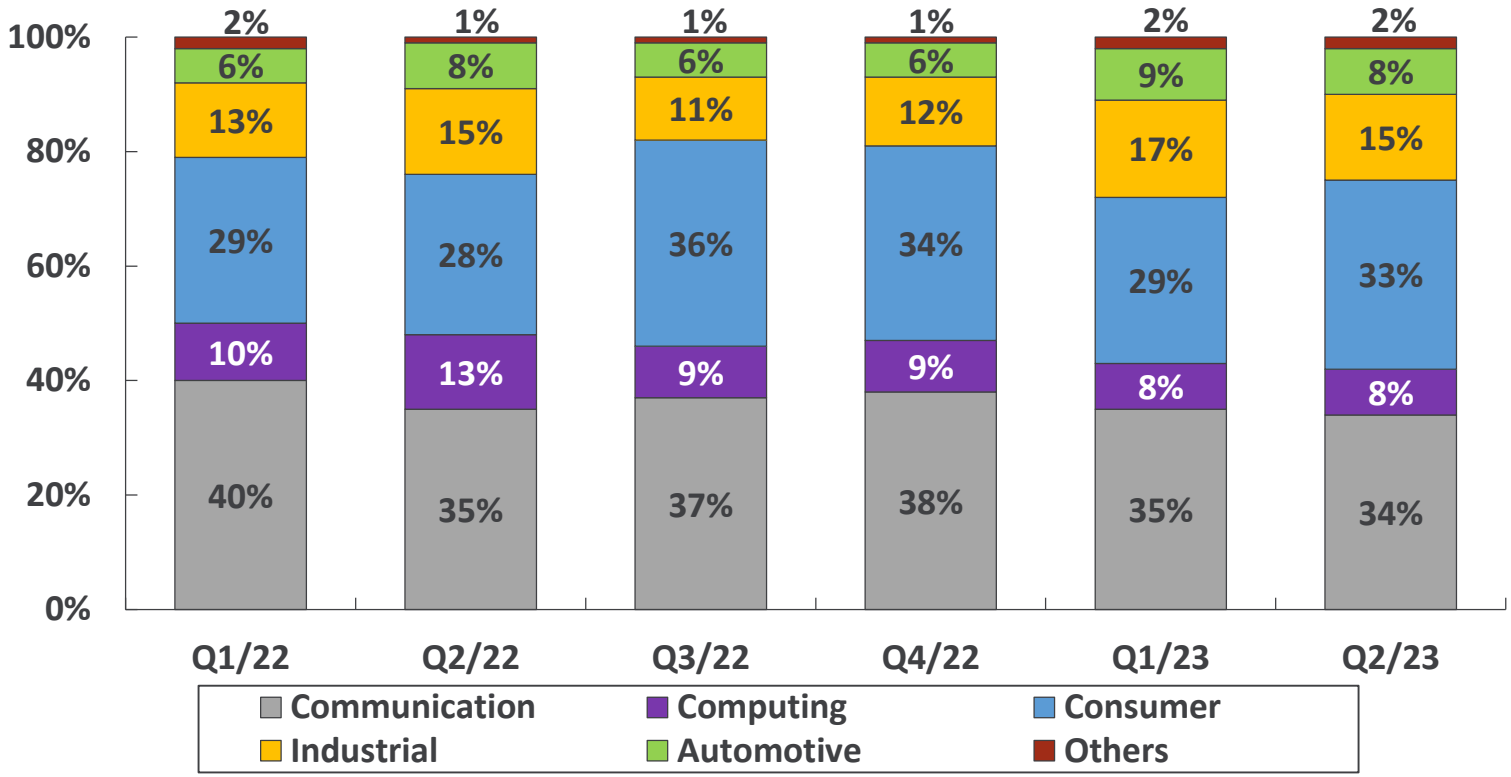


EMS Operations

Quarterly Revenues by Application

(unaudited)

(NT$ million)	Q2 / 2023	%	Q1 / 2023	%	Q2 / 2022	%	QoQ	YoY
EMS Net Revenues	60,424	100.0%	57,733	100.0%	66,218	100.0%	5%	-9%
Gross Profit	5,639	9.3%	4,567	7.9%	6,650	10.0%	23%	-15%
Operating Income (Loss)	2,089	3.5%	1,325	2.3%	2,667	4.0%	58%	-22%



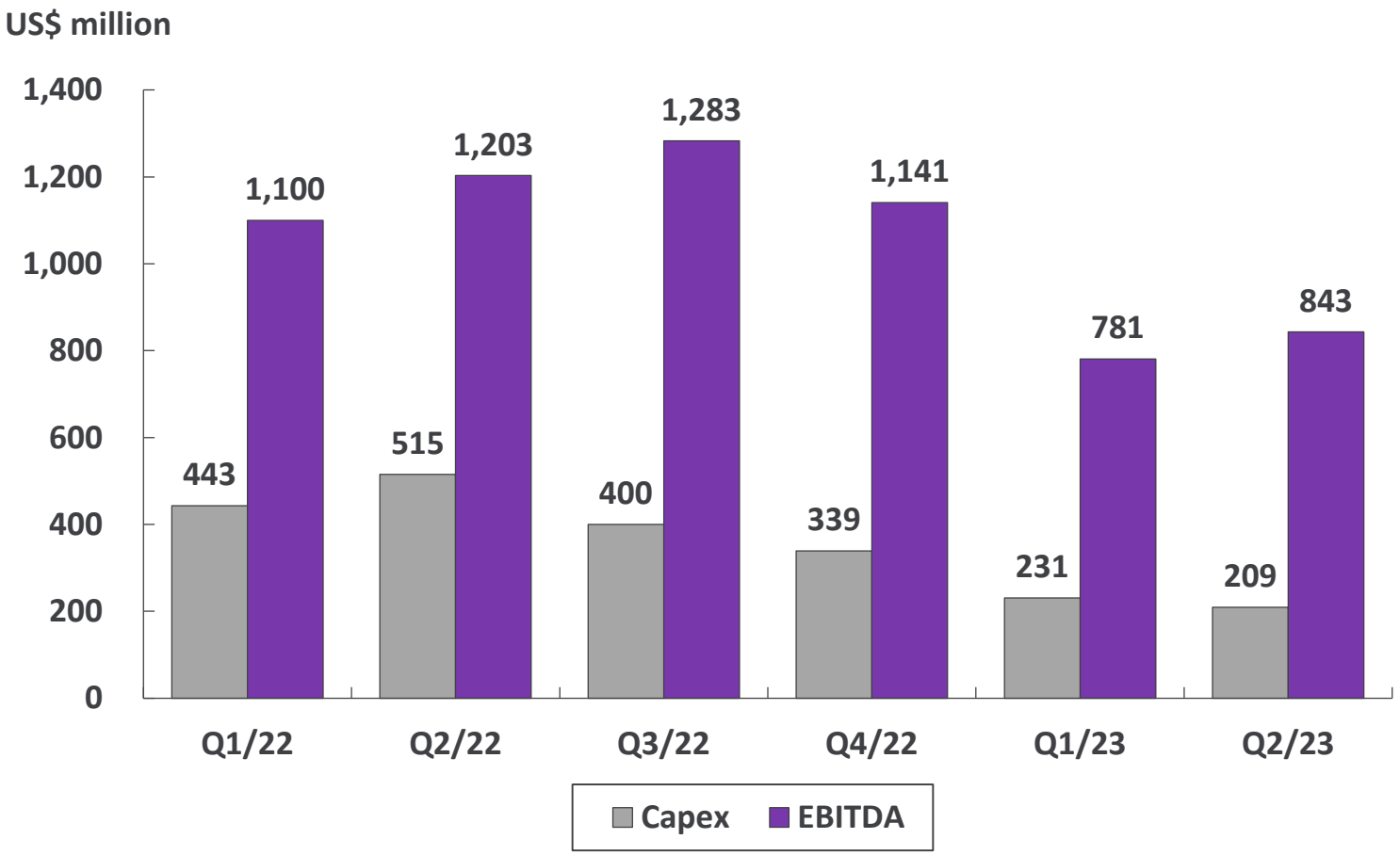
Key Balance Sheet Items & Indices

(Unaudited)

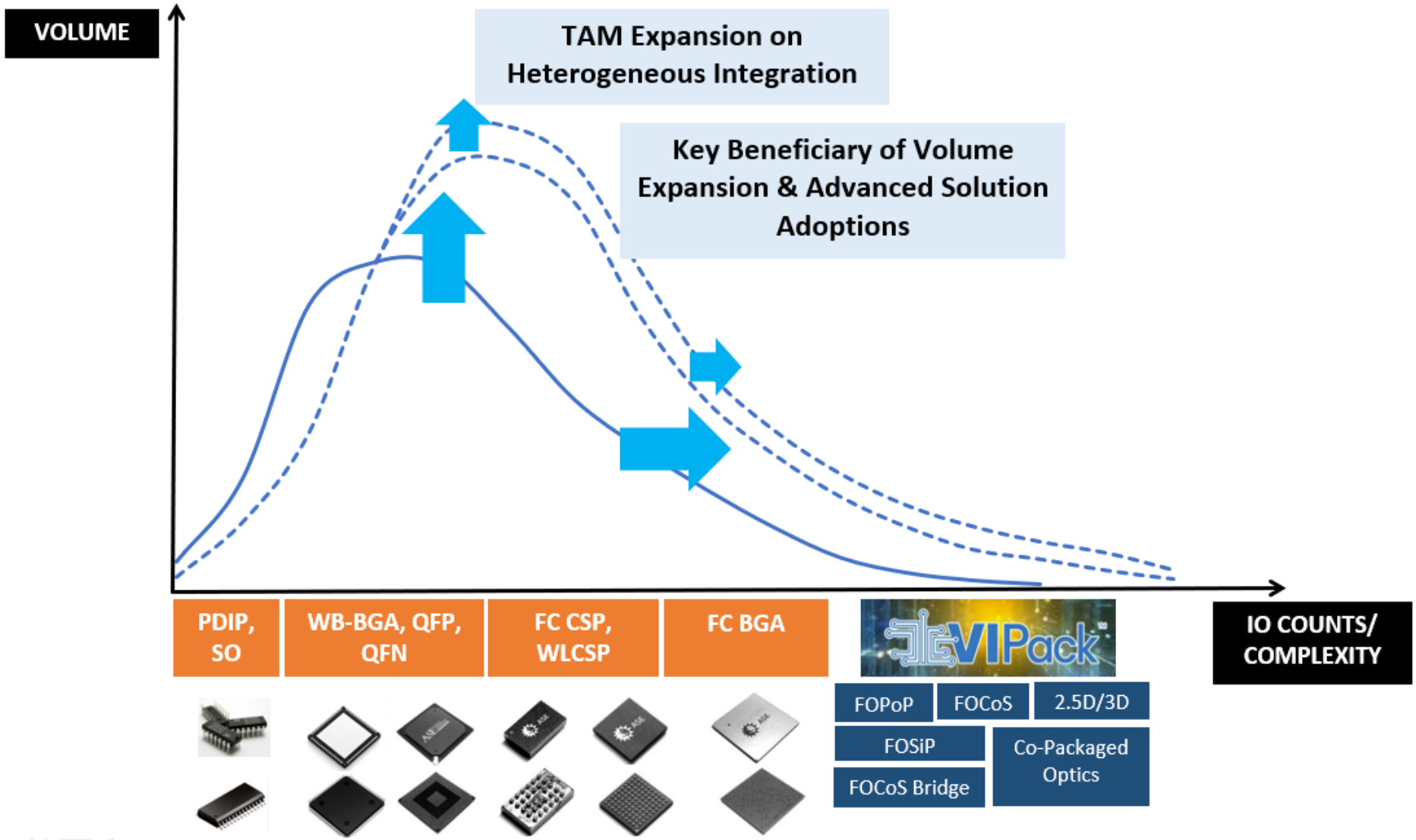
(NT$ million)	Jun. 30, 2023	Mar. 31, 2023
Cash and cash equivalent	$59,351	$62,056
Financial assets - current	7,040	6,317
Financial assets - non current & investments - equity method	26,761	24,352
Property, plant & equipment	262,604	266,005
Total assets	**672,521**	**675,440**
Short-term loans	37,798	45,158
Current portion of bonds payable	13,797	7,298
Current portion of long-term loans	4,394	4,701
Bonds payable	33,462	38,837
Long-term loans & long-term bills payable	90,224	86,752
Total interest bearing debts	187,081	190,300
Total liabilities	**375,104**	**385,714**
Total equity (Including non-controlling interest)	**297,417**	**289,726**
Quarterly EBITDA	**25,770**	**23,765**
Current ratio	**1.20**	**1.16**
Net debt to equity ratio	**0.41**	**0.42**

Equipment Capital Expenditures vs. EBITDA

(Unaudited)



Technology Advancement Led TAM Expansion



Third Quarter 2023 Outlook*

Based on our current business outlook and exchange rate assumptions, management projects overall performance for the third quarter of 2023 to be as follows:

- In NT dollar terms, our ATM 3rd quarter 2023 revenues should grow mid to high single digits quarter over quarter;
- Our ATM 3rd quarter 2023 gross margin should improve 75 to 100 basis points versus the 2nd quarter 2023;
- In NTD terms, our EMS 3rd quarter 2023 revenues should increase 20% quarter over quarter;
- Our EMS 3rd quarter 2023 operating margin should be similar with the 2nd quarter 2023.

Thank you

Appendix 1

Consolidated Statements of Comprehensive Income

(Unaudited)

(NT$ thousand)	Q1/2022	Q2/2022	Q3/2022	Q4/2022	FY/2022	Q1/2023	Q2/2023
Revenues	144,390,827	160,439,019	188,625,557	177,417,239	670,872,642	130,891,073	136,275,353
COGS	115,919,599	126,051,460	150,653,584	143,317,989	535,942,632	111,551,750	114,534,530
PPA under COGS	920,316	918,661	916,426	917,737	3,673,140	917,384	913,036
Gross profit	28,471,228	34,387,559	37,971,973	34,099,250	134,930,010	19,339,323	21,740,823
Gross profit excl. PPA	29,391,544	35,306,220	38,888,399	35,016,987	138,603,150	20,256,707	22,653,859
OPEX	12,358,395	13,782,006	14,289,270	14,324,758	54,754,429	11,643,749	12,328,656
PPA under OPEX	261,477	261,428	261,109	261,723	1,045,737	261,948	262,147
Operating income	16,112,833	20,605,553	23,682,703	19,774,492	80,175,581	7,695,574	9,412,167
Operating income excl. PPA	17,294,626	21,785,642	24,860,238	20,953,952	84,894,458	8,874,906	10,587,350
Non Op gain/(loss)	549,787	529,795	(67,443)	437,990	1,450,129	174,771	698,626
PPA under Non Op gain/ (loss)	3,637	20,922	7,038	6,268	37,865	6,270	7,693
Non Op gain/ (loss) excl. PPA	553,424	550,717	(60,405)	444,258	1,487,994	181,041	706,319
Pretax income	16,662,621	21,135,348	23,615,261	20,212,482	81,625,712	7,870,345	10,110,793
PPA under Pretax income	1,185,430	1,201,011	1,184,573	1,185,728	4,756,742	1,185,602	1,182,876
Pretax income excl. PPA	17,848,051	22,336,359	24,799,834	21,398,210	86,382,454	9,055,947	11,293,669
Tax expenses	3,277,505	4,478,602	5,046,341	3,596,127	16,398,575	1,777,556	1,913,865
PPA under Tax expense	(13,081)	(16,957)	(12,653)	(13,164)	(55,855)	(13,652)	(12,466)
Tax expense excl. PPA	3,290,586	4,495,559	5,058,994	3,609,291	16,454,430	1,791,208	1,926,331
Non-controlling interests	477,834	668,595	1,104,295	885,919	3,136,643	275,624	456,505
PPA under Non-controlling interests	9,074	10,913	8,619	9,015	37,621	9,332	8,517
Non-controlling interests excl. PPA	486,908	679,508	1,112,914	894,934	3,174,264	284,956	465,022
Net income attributable to shareholders of the parent	12,907,282	15,988,151	17,464,625	15,730,436	62,090,494	5,817,165	7,740,423
PPA expenses under Net income attributable to shareholders of the parent	1,163,275	1,173,141	1,163,301	1,163,549	4,663,266	1,162,618	1,161,893
Net income attributable to shareholders of the parent excl. PPA	14,070,557	17,161,292	18,627,926	16,893,985	66,753,760	6,979,783	8,902,316
Total PPA expenses	1,172,349	1,184,054	1,171,920	1,172,564	4,700,887	1,171,950	1,170,410
Basic EPS (NT$)	3.01	3.69	4.03	3.77	14.53	1.36	1.80
Basic EPS (NT$) excl. PPA	3.28	3.97	4.30	4.05	15.62	1.63	2.07
Diluted EPS (NT$)	2.92	3.61	3.92	3.57	13.94	1.30	1.76
Diluted EPS (NT$) excl. PPA	3.19	3.88	4.18	3.84	15.02	1.57	2.03